Topic 27–28
British Policies and Economic Impact

How Britain governed India, and what that rule did to India's economy

Exact syllabus wording covered: "Modern Indian history from about the middle of the eighteenth century until the present – significant events, personalities, issues." Tracker mapping: Spectrum Ch. 27 (Survey of British Policies) and Ch. 28 (Economic Impact of British Rule).

What this topic is really about. Colonial rule was a system for turning India's **land, labour and markets** into gains for Britain. The economic impact is what that system did; the policies after 1857 were how Britain kept it safe. Almost every question here asks you to trace a **chain from a policy to a structural outcome** (poverty, ruralisation, famine) and then qualify it with the counter-view.

Study window	Sat 7 – Sun 8 Nov 2026 — **2 sessions** (one 90–120 min block each)
Session plan	**Session 1 (7 Nov):** Sections 1–4 and Part A (5.1–5.5), then land revenue and agriculture (5.6–5.7). **Session 2 (8 Nov):** deindustrialisation, industry, drain, finance, famines and indenture (5.8–5.14), then write Master Answer 1 timed.
Estimated study time	About 4 hr 15 min across both sessions, including one written 15-mark answer and one 10-mark answer
Revision time	20 min full note • 6 min one-page sheet (Section 15)
Study as	One unit in two parts. **Part A** = how Britain governed to protect the extraction. **Part B** = what the extraction did. Fig. 1 is the spine of both; learn it first.
Note status	**Draft 1 — for your review.** Not final until you sign it off.
Boundary	Charter Acts and administrative machinery are **26** (done). Press and education, including the 2026 Macaulay question, are **23** (11 Nov). Peasant and labour *movements* are **24** (14 Nov). Wars of conquest, subsidiary alliance and doctrine of lapse are **Seq 4** (done). The Moderates' economic critique *as politics* was **10–11**; here it is treated *as economics*.

Candid verdict — the highest-yield structural topic in Modern History, and Mains-led. Six Mains questions take this topic as their main demand (2014, 2016, 2017, 2018, 2022, 2024), worth 77.5 marks, and five more lean on it. Five of the six are economic; only 2016 is about policy. Every one is a **"why", "how far" or "examine"** question — none asks you to describe. Prelims has 27 questions in scope since 1995 but only 10 since 2010, and the recent ones ask for *reasons* (why the Hilton-Young ratio, why indigo declined). The economic half was last set in Mains in 2024; the policy half in 2016. Your Subject Coverage row has no PYQ count yet; on six own askings it is correctly rated **Mains Value: High**.

1 SCOPE MAP

What is included

- **Part A — British policies.** The three stages of colonialism as the logic behind policy; 1857 as a watershed in policy (the 2016 question); the administrative policies Spectrum lists (divide and rule, hostility to educated Indians, alliance with zamindars, retreat from social reform, starved social services, labour legislation, racism); paramountcy and the princely states; frontier policy towards neighbours.
- **Part B — economic impact.** Land revenue settlements; impoverishment, new landlordism, stagnation and commercialisation of agriculture; deindustrialisation (2017, 2024); modern industry, Indian capitalists and railways;

drain of wealth; trade, tariff and currency policy; famines (2022); indentured labour (2018); the historiographical debate and the overall verdict.

What is excluded, and where it belongs

Material	Belongs to	Why it is kept out
Regulating Act to 1935 Act; Secretary of State, councils, judiciary, civil services, police	26, done	Named where a policy needs it (1858 Act, 1935 federation); the machinery is there.
Press laws, Wood's Despatch, Macaulay's Minute, universities	23, 11 Nov	The 2026 Macaulay question sits there. Vernacular Press Act is named here in one line as a "restriction on press".
Indigo Revolt, Deccan Riots, Pabna, Champaran, Bardoli, Eka, Tebhaga; trade unions	24 and 5	Here only as *consequences* of policy. The movements' leadership and course are there.
Carnatic, Mysore, Maratha, Sikh wars; subsidiary alliance; doctrine of lapse	Seq 4, done	Paramountcy here is the *phase logic*, not the conquest narrative.
Moderates' methods and the founding of the Congress	10–11, done	Drain theory is here as an economic argument; its political use is there.
Five-Year Plans, land reforms, zamindari abolition	Seq 26, deferred	The colonial legacy is named as a bridge to the 2026 planning question.

How it connects outward

- **Seq 4 (Expansion)** — subsidiary alliance and lapse are the second and third phases of paramountcy; Dalhousie (2013 Mains) sits across both rows.
- **Seq 6 (1857)** — the 2016 question is answered from this packet's Fig. 5; the 2019 "culmination of local rebellions" question uses this packet's land revenue material for its causes.
- **Seq 24 (Peasants and workers)** — every peasant movement there begins with a grievance created here. Say so in one line and it earns a mark.
- **GS-I World History** — 2015 (why the Industrial Revolution began in England) and 2023 (railways in different countries) are the other side of this topic.
- **GS-I Post-independence** — the 2026 question on planning and colonial regional imbalance is answered from 5.9 and 5.14.
- **GS-III Economy** — food security, famine policy and the Public Distribution System begin with the 1943 Bengal famine.

2 MAINS PYQ DEMAND AUDIT

Source: your uploaded GS-I compilation (2013–2026), whose wording UnlockIAS describes as verbatim from the official papers. These six take this topic as their main demand.

Year	Question (as recorded)	Marks	Demand	Part
2024	How far was the Industrial Revolution in England responsible for the decline of handicrafts and cottage industries in India?	15 · 250 w	Causation weighed — "how far"	B
2022	Why was there a sudden spurt in famines in colonial India since the mid-eighteenth century? Give reasons.	10 · 150 w	Reasons, periodised	B
2018	Why indentured labour was taken by the British from India to other colonies? Have they been able to preserve their cultural identity over there?	15 · 250 w	Push–pull plus diaspora identity	B
2017	Examine how the decline of traditional artisanal industry in colonial India crippled the rural economy.	15 · 250 w	Consequence chain	B

Year	Question (as recorded)	Marks	Demand	Part
2016	Explain how the uprising of 1857 constitutes an important watershed in the evolution of British policies towards colonial India.	12.5 · 200 w	Before and after	A
2014	Examine critically the various facets of economic policies of the British in India from mid-eighteenth century till independence.	10 · 150 w	Periodised overview, critical	B

Linked questions — answered partly from this packet, counted elsewhere

Year	Question	What this packet supplies
2026	The model of planned economy was adopted in India to address the regional imbalances left behind by colonial rule. Comment. (15)	The colonial origin of regional imbalance: port enclaves, settlement types, where industry was put (5.9, 5.14)
2023	How did the colonial rule affect the tribals in India and what was the tribal response? (15)	Land revenue, forest and commercialisation as the cause side
2020	Evaluate the policies of Lord Curzon and their long-term implications on the national movement. (10)	Curzon's paternalism towards princes, Tibet, famine commission
2019	The 1857 Uprising was the culmination of the recurrent big and small local rebellions... Elucidate. (10)	Agrarian and artisanal grievances as the common root
2013	"In many ways, Lord Dalhousie was the founder of modern India." Elaborate. (10)	Railways (1853), telegraph, post, guarantee system

What UPSC is actually testing

Demand	Times set	What is really being tested	Your reading
Deindustrialisation	2 — 2017, 2024 (+2014)	Whether you can separate the *cause* (machine competition) from the *conditions* colonial rule added, and follow the consequence into the village	The core investment. Fig. 3, 5.8, Master Answer 1
Agrarian distress and famine	1 — 2022	A reasons list that is **periodised** (1770 to 1943) and not just "drought"	5.12 and Master Answer 2
Economic policy as a whole	1 — 2014	Whether you can show how policy changed with Britain's needs, and still be critical ("examine critically")	Fig. 1 top band; Master Answer 3
Colonial labour	1 — 2018	Why the empire needed Indian labour, and a balanced yes-and-no on identity	5.13
Policy after 1857	1 — 2016	A before-and-after contrast across six or seven domains, not a 1857 narrative	Fig. 5; Master Answer 4

Trend reading

- **Every question is analytical.** "How far", "examine how", "why", "examine critically". A descriptive list of the three land settlements will not score on its own; it has to be attached to a consequence.
- **The time span is written into the stem.** 2014 and 2022 both say "since/from the mid-eighteenth century". Periodise every answer: Company plunder, free trade, finance imperialism. That one move is the difference between a list and an answer.
- **The village is the destination.** 2017 asks about the rural economy, 2022 about famine, 2018 about migrant labour. The examiner wants the chain to end in rural poverty, not in Manchester.
- **The legacy is migrating into post-independence questions.** 2026 (planning and colonial regional imbalance) is the first stem to ask what the colonial economy left behind. Expect more.
- **Part A is thinner but not dead.** One Mains question (2016), plus the Prelims staples on paramountcy, Ilbert Bill, labour Acts and frontier policy. Keep it to the five-phase timeline and the before-and-after table.

3 PRELIMS PYQ DEMAND AUDIT

Source: your uploaded Prelims compilation (321 Modern History questions, 1995–2026). I re-sorted by content, so counts are ±2. Answers are the compilation's keys.

Year	What was asked	Answer	What it tested
2026	Why the Hilton-Young rupee–sterling ratio (1926) was adopted	To aid remittances from India and keep its creditworthiness	The *purpose* of currency policy — the drain in monetary form
2024	Cornwallis's revenue collection: Ryotwari remission; zamindar removal for default	Cancelled by UPSC	Trap: Ryotwari was **not** Cornwallis's; the Sunset Law was
2020	Pairs: Aurang, Banian, Mirasidar	Banian = Company's Indian agent; Mirasidar = revenue payer (Aurang is a workshop, not a treasury)	Company-era economic vocabulary
2020	Impact of the Industrial Revolution on India, first half of the 19th century	Indian handicrafts were ruined	Deindustrialisation, dated correctly (machines and railways came later)
2020	Why indigo cultivation declined by the early 20th century	Unprofitable after new inventions (synthetic dye)	Cause of decline is the market, **not** the 1859–60 revolt
2018	An economic result of British rule in the 19th century	Commercialisation of agriculture	Elimination: handicraft exports and Indian factories did not grow
2018	Company's staple exports from Bengal, mid-18th century	Cotton, silk, saltpetre and opium	Stage I trade
2015	Economic critics of colonialism	Naoroji, G. Subramania Iyer, R. C. Dutt — all three	The nationalist economists
2012	Ryotwari: direct payment; pattas; survey before assessment	All three correct	Features of Ryotwari
2012	Naoroji's most effective contribution	Exposing economic exploitation	Drain theory as his signature
2011	Why litigation rose after Cornwallis's 1793 settlement	Compilation key: (c), the more efficient judicial system. **Disputed**	Learn the mechanism: saleable land plus new courts
2010	Why the 1793 regulation stripped the Collector of judicial powers	Too much power in one person	Cornwallis Code logic (linked to 26)
2001	Why zamindars did not issue pattas	No official check on zamindars	Weakness of the Permanent Settlement for ryots
2000	Match land systems with descriptions	Jagirdari = big landlords; Zamindari = revenue farmers; Ryotwari = peasant with transfer rights; Mahalwari = village settlement	The three settlements
2000	First to estimate per capita income at Rs 20 (1867–68)	Dadabhai Naoroji	Drain theory anchor

Year	What was asked	Answer	What it tested
1999	Why no independent industrial development under British rule	Absence of heavy industries	Structural weakness of colonial industry
1999	"Imperial preference" meant	Special privileges for British imports in India	Trade policy (Ottawa, 1932)
1996 · 2008	Who did not accept the drain theory? · Who called British rule "un-British"?	Syed Ahmad Khan · Naoroji	Drain theory and its critics
2017	Purpose of the Butler Committee (1927)	Relations between the Government of India and the princely states	Paramountcy, Phase 4
2002	Real British intention in putting princes into the 1935 federation	To counterbalance nationalist leaders	Paramountcy, Phase 5
1999	Governor-General of the "forward" policy on Afghanistan	Lytton	Frontier policy
2007 · 2017 · 2003	First Factory Act (women and children) · Factories Act 1881 statements · Whitley Commission	Ripon · 1881 Act did **not** fix wages or allow unions · labour conditions	Labour legislation
2013 · 2003 · 1998	Ilbert Bill	Remove the bar on Indian magistrates trying Europeans; Ripon	White racism as policy
1998	"The Congress is tottering to its fall…"	Curzon	Hostility to educated Indians

Linked, counted elsewhere: subsidiary alliance (2018), Charter Acts of 1813 and 1853 (2019, 2006), Swadeshi revival of crafts (2019), Gandhi and indenture (2019), Awadh policy in 1856 (2026), Kheda and revenue suspension (2011), dates of the Burmese and Afghan wars (1999, 2004).

Prelims reading. The 1990s–2000s asked *who* and *what* (Naoroji's Rs 20, Lytton, Ripon). From 2018 the questions ask **why**: why indigo declined, why the Hilton-Young ratio, why there was no independent industry. That rewards exactly the causal understanding the Mains half builds, so the two audits point the same way. The repeat traps are: Ryotwari attributed to Cornwallis; indigo decline blamed on the revolt; the 1881 Act credited with wages or unions; and treating the Ilbert Bill as a press law.

4 BIG-PICTURE CONCEPTUAL MAP

MOVE 1 — Colonialism changed its purpose three times, and policy followed. First the Company wanted India's **revenue and goods** (1757–1813); then Britain wanted India as a **market and raw-material supplier** (1813–1858); then as a field for **British capital** and a source of payments (1858–1947). Fig. 1, top band.

MOVE 2 — Land revenue was the engine. It was the state's largest source of income, and how each settlement was designed decided **who bore the burden** and who profited. Fig. 2.

MOVE 3 — The economy was pushed backwards onto the land. Artisans lost markets (deindustrialisation), peasants were pushed into cash crops (commercialisation), and too little modern industry grew to absorb them. The outcome has a name: ruralisation. Fig. 3.

MOVE 4 — The surplus left the country. Home Charges, remittances and profits flowed to Britain without equivalent return — the drain — so the surplus that could have been invested was not. Fig. 4.

MOVE 5 — Famine is where all four meet. Drought made the harvest fail; extraction, lost non-farm income and export of grain made the failure fatal.

MOVE 6 — After 1857, policy turned from reforming and annexing to conserving and dividing. Princes, zamindars and religious conservatism became allies, so the extraction could continue with fewer risks. Figs. 5 and 6.

MOVE 7 — The counter-view is about extent and mechanism, not direction. Railways, canals and modern industry did grow, but in **enclaves**; revisionists (Morris, Tirthankar Roy) dispute how large the decline was. Say this once in every long answer; it is the standard high-value qualification.

That chain is the shape of any long answer: periodise the purpose → name the engine → follow it to the village → show where the surplus went → land on poverty and famine → qualify.

The Colonial Economic Machine — Policy to Structural Poverty

Top: what Britain wanted in each stage. Grid: the five channels your tracker asks you to organise the evidence under.

STAGE I · 1757–1813 · Mercantile	STAGE II · 1813–1858 · Free trade	STAGE III · 1858–1947 · Finance imperialism
Monopoly trade and direct seizure of revenue (Diwani 1765). Indian goods bought with Indian revenue.	Charter Act 1813 ends monopoly. India becomes a market for Lancashire and a supplier of raw cotton, indigo, jute.	British capital in railways, plantations, mines, banks. India's export surplus pays Britain.

	AGRICULTURE	INDUSTRY	TRADE	FINANCE	FAMINE
POLICY	Permanent, Ryotwari, Mahalwari settlements; cash revenue, fixed or high	No protection till 1923; cotton excise 1896; railway stores bought in Britain	One-way free trade after 1813; imperial preference 1932	Home Charges; guaranteed 5% on railway capital; Hilton-Young ratio 1926	Laissez-faire relief; revenue collected in scarcity; Famine Codes only from 1883
MECHANISM	Land becomes saleable; moneylender and new landlord; forced cash crops	Machine cloth plus lost patrons plus railways reach the village	Raw materials out, manufactures in; export surplus	Surplus remitted, not reinvested — the drain	Buffers gone: no craft income, grain exported, prices spike
OUTCOME	Indebtedness, landlessness, stagnation in food output	Ruralisation — artisans pushed back onto land	Colonial pattern of trade; dependence on world prices	Capital starvation; regressive taxes (salt)	1876–78: 5.6–9.6 m dead; Bengal 1943: about 3 m
EVIDENCE	Deccan Riots 1875; Blyn: foodgrain output grew about 0.1% a year, 1891–1947	Bihar industrial population 18.6% → 8.5% (Bagchi); Dacca 150,000 → 30–40,000	India: about 25% of world manufacturing in 1750, about 2% in 1900 (Bairoch)	Naoroji: income Rs 20 per head, 1867–68; Dutt; Digby	Digby: famine deaths rose from about 1 m (1800–25) to about 15 m (1876–1900)
COUNTER-VIEW	*Punjab canal colonies; a rich-peasant class in commercial tracts*	*Morris, T. Roy: handloom survived and adapted using mill yarn*	*An integrated national market emerged*	*Morison 1911: payments were for services and capital*	*Railways cut famine mortality (Burgess & Donaldson); few big famines 1908–42*

THE SINK: growth in enclaves (ports, railways, plantations, mills) and stagnation in the mass (agriculture) — near-flat per capita income in the last half-century of rule.

Fig. 1 *— the hero figure. Draw the top band for 2014, one column for a single-channel question (Industry for 2017 and 2024, Famine for 2022), and the whole grid for any "impact of British rule" question.*

5 CORE NOTES

PART A — HOW BRITAIN GOVERNED: POLICIES

5.1 The logic behind every policy: three stages of colonialism UNDERSTAND

Plain version. Britain did not want the same thing from India throughout. What it wanted changed as Britain's own economy changed, and the policies changed with it. If you know the stage, you can usually work out the policy.

Stage	What Britain wanted	How it was obtained	Signature evidence
I. Mercantile 1757–1813	Indian goods and Indian revenue, without paying for them with British exports	Company monopoly of trade; the Diwani (1765) gave the revenue of Bengal, Bihar and Orissa, which was then used to buy the goods exported — the "investment"; weavers tied by advances (*dadni*) and forced to sell below market price	Plassey "presents"; Bengal famine 1770 with revenue still collected
II. Free trade 1813–1858	A market for Lancashire's machine-made goods and a source of raw materials	Charter Act 1813 ended the Company's trade monopoly (except tea and the China trade); near-free entry of British goods while Indian manufactures faced heavy duties in Britain; westernising reforms to create consumers and clerks; railways, telegraph and post under Dalhousie	India turns from cloth exporter to cloth importer; raw cotton and indigo exports rise
III. Finance imperialism 1858–1947	A safe field for British capital, and a steady flow of payments	British investment in railways (interest guaranteed from Indian revenue), plantations, mines, jute, banking and shipping; India's export surplus used to settle Britain's deficits elsewhere; tighter political control after 1858	Home Charges; guaranteed railway interest; sterling balances by 1947

The three-stage scheme is Bipan Chandra's, building on R. P. Dutt's *India Today* (1940), which divided the same span into merchant capital, industrial capital and finance capital. **Functional phrase:** "the stage decides the policy".

ANSWER-READY

"British economic policy in India was not one policy but three, each shaped by what Britain's own economy required at the time: plunder and monopoly under the Company, free trade for Lancashire after 1813, and an outlet for British capital after 1858."

5.2 Administrative policies after 1857 UNDERSTAND

Plain version. Spectrum groups the post-1857 policies under eight headings. Each one either recruited an ally, weakened an opponent, or kept the cost of governing low.

Policy	What it involved	Use in an answer
Divide and rule	Playing princes against people, provinces against provinces, castes against castes and Hindus against Muslims. Muslims were treated as the main suspects after 1857, then courted after the 1870s (W. W. Hunter, *The Indian Musalmans*, 1871). Partition of Bengal 1905; separate electorates 1909; Communal Award 1932.	The policy root of communal politics
Hostility to educated Indians	Patronised while they were seen as loyal; turned against once they became critics. Dufferin called the Congress a "microscopic minority" (1888); Curzon wrote that the Congress was "tottering to its fall" (1900).	Why the Moderates failed to win concessions

Policy	What it involved	Use in an answer
Alliance with zamindars	Landlords and princes became the "natural leaders" of the people in British eyes; tenancy protection was given late and partially (Bengal Rent Act 1859, Bengal Tenancy Act 1885).	Why agrarian reform was delayed
Retreat from social reform	Non-interference after 1858; reform left to Indian reformers.	Contrast with Bentinck and Dalhousie
Starved social services	Spending on education, health, sanitation and irrigation kept low; the army was the largest item of expenditure.	Links to the drain and to famine
Labour legislation	Factory Acts from 1881 — but plantations excluded, and the push came partly from Lancashire mill-owners who wanted Indian mill costs raised. Timeline below.	"Humanitarian or protectionist?" — both
Restrictions on the press	Vernacular Press Act 1878 (Lytton), repealed 1882 (Ripon); later press Acts. Detail in 23.	One line only here
White racism	Exclusion of Indians from clubs, compartments and senior posts; the **Ilbert Bill** (1883, Ripon) to let Indian judges try Europeans was diluted after a European agitation (1884 compromise: a jury half European).	The racial ceiling on loyalty; it taught Indians the value of organised agitation

Labour legislation — the Prelims timeline MEMORISE

Year	Measure	What it did
1881	Indian Factories Act (Ripon)	Children 7–12: at most 9 hours a day; no child under 7. **No wage fixing, no unions** (2017 trap)
1891	Factories Act (Lansdowne)	Women: 11 hours; children 9–14: 7 hours; a weekly holiday
1911	Factories Act	Men in textile mills: 12 hours
1922 · 1923	Factories Act · Workmen's Compensation Act; Indian Mines Act	11-hour day, 60-hour week · compensation for injury
1926 · 1929	Trade Unions Act · Trade Disputes Act	Registration and protection of unions · conciliation, curbs on strikes
1929–31	Royal Commission on Labour (Whitley)	Report on labour conditions (2003 Prelims)
1934	Factories Act	10-hour day, 54-hour week in perennial factories

5.3 1857 as a watershed in British policy — the 2016 question MEMORISE THE TABLE

Plain version. Before 1857 the British believed they could remake India — annex states, abolish customs, Westernise. The revolt convinced them this was dangerous. After 1857 they ruled through allies (princes, landlords, religious conservatives) and by keeping Indians divided. What Britain wanted from India did not change; whom it relied on to get it did.

1857 as a Watershed — Before and After

Seven domains; the arrow is the turn. This is the 2016 answer in one table.

	BEFORE 1857 — reform, annex, Westernise		AFTER 1857 — conserve, ally, divide
Authority	Company rule under Board of Control	→	Crown rule: Government of India Act 1858; Secretary of State; Viceroy
Princes	Annexation by lapse and "misgovernment" (Satara 1848, Jhansi 1853, Nagpur 1854, Awadh 1856)	→	No further annexation (Queen's Proclamation 1858); adoption sanads (1862); princes as "breakwaters" (Canning); subordinate union
Landed class	Awadh taluqdars dispossessed in the 1856 summary settlement	→	Taluqdars restored and zamindars treated as loyal pillars of rule
Social reform	Active: sati abolished 1829, widow remarriage 1856	→	Non-interference in religion and custom promised in 1858; rare exceptions (Age of Consent Act 1891)
Army	Indian sepoys far outnumber Europeans; high-caste Bengal army	→	Peel Commission 1859: more European troops, artillery kept European, regiments mixed by caste and region, "martial races" recruited
Communities	Little deliberate use of religious division	→	Divide and rule: Muslims first blamed, then courted from the 1870s; separate electorates 1909
Finance and economy	Company finance; railways just begun (1853)	→	Revolt debt; income tax introduced 1860 (James Wilson); railway building with guaranteed returns — finance imperialism

Fig. 5 *— for 2016, draw the princes, landed-class, social-reform and army rows; write the other three in prose. Close on continuity: the purpose of rule stayed the same.*

5.4 Paramountcy and the princely states — five phases MEMORISE

Plain version. About two-fifths of the subcontinent stayed under Indian princes. The British changed their treatment of these states five times, and each change matched what Britain needed: first a buffer, then subordinates, then loyal allies, then a conservative counterweight to the Congress.

British Policy towards the Princely States

Spectrum's five-phase scheme; each phase named by its policy.

1740–1765	1765–1813	1813–1857	1857–1935	1935–1947
Struggle for equality	**Ring fence**	**Subordinate isolation**	**Subordinate union**	**Equal federation**
The Company, still a Mughal subordinate, fights for equal standing with Indian powers (Carnatic wars, Plassey, Buxar).	Buffer states around Company territory (Awadh against the Marathas and Afghans). Wellesley's **subsidiary alliance** (1798) made allies pay for Company troops.	Lord Hastings asserts paramountcy: no foreign relations, Residents control courts. Dalhousie annexes by lapse and "misgovernment".	No annexation, but the Crown is paramount and may depose (Baroda 1875). Royal Titles Act 1876; Curzon's paternalism; **Chamber of Princes 1921**; **Butler Committee 1927**: "paramountcy must remain paramount".	1935 Act offers a federation which princes may join — never formed because they did not. Princes used to counterbalance nationalists (2002 Prelims). Paramountcy lapses in 1947.

Fig. 6 *— the princely-state timeline. The Butler Committee and the 1935 federation are the two Prelims hooks.*

5.5 Relations with neighbours — frontier policy CONCEPTUAL RECALL

Plain version. The frontier wars had two motives: keeping Russia (and France, then China) away from India — the "Great Game" — and opening trade. India's taxpayers paid for all of them, which is why frontier policy belongs in the drain argument.

Neighbour	Key events	Outcome
Nepal	Anglo-Nepal War 1814–16 (Lord Hastings)	Treaty of Sagauli 1816: Kumaon and Garhwal ceded; British Resident; Gurkha recruitment
Burma	First war 1824–26 (Amherst); second 1852 (Dalhousie); third 1885 (Dufferin)	Yandabo 1826: Burma gives up Assam and Manipur, cedes Arakan and Tenasserim; Pegu 1852; Upper Burma annexed 1886; separated from India 1937
Afghanistan	First war 1839–42 (Auckland) — disaster; Lawrence's "masterly inactivity"; Lytton's **forward policy** → second war 1878–80; Durand Line 1893 (Lansdowne); third war 1919	Gandamak 1879; Rawalpindi 1919 restores Afghan control of foreign affairs
Bhutan	Duar War 1864–65	Treaty of Sinchula 1865: Duars ceded for an annual subsidy
Tibet	Younghusband expedition 1903–04 (Curzon)	Treaty of Lhasa 1904; Anglo-Russian Convention 1907 neutralises Tibet

PART B — WHAT THE RULE DID: ECONOMIC IMPACT

5.6 Land revenue settlements — the engine MEMORISE

Plain version. Land revenue was the colonial state's biggest source of income. The British tried three ways of collecting it. Each made land a piece of property that could be sold, and each demanded cash on fixed dates whatever the harvest. That combination — saleable land plus rigid cash demand — is what handed the village to the moneylender.

Consequences common to all three (the settlements themselves are compared in Fig. 2)

- **Land became a commodity** — saleable and mortgageable — so debt could end in loss of the land itself. The moneylender (*sahukar*, *mahajan*) became the de facto owner in many tracts.
- **New landlordism and absenteeism.** Merchants and moneylenders bought estates; in Bengal layers of intermediate tenure holders grew between zamindar and ryot (subinfeudation). Even ryotwari areas saw subletting and landlords.
- **Rigidity in bad years.** Cash on a fixed date regardless of harvest forced distress sales and cash cropping.
- **Litigation** rose as rights became legal titles enforced in new courts — the logic of the 2011 Prelims question.
- **Peasant revolt followed the pressure**: Deccan Riots 1875 (ryotwari Bombay, after the cotton slump) led to the Deccan Agriculturists' Relief Act 1879; Punjab Land Alienation Act 1900 tried to stop land passing to moneylenders.

ANSWER-READY

"Whatever their differences, all three settlements turned land into saleable property and demanded fixed cash revenue regardless of the harvest; together these made the moneylender, not the cultivator, the real beneficiary of colonial agrarian policy."

The Three Land Revenue Settlements

Area shares are the standard textbook approximations for British India.

	PERMANENT (ZAMINDARI) · c. 19%	RYOTWARI · c. 51%	MAHALWARI · c. 30%
Who and when	Cornwallis 1793, planned with John Shore	Alexander Read (Baramahal, 1792) and Thomas Munro (Madras, 1820); Bombay under Elphinstone, survey by Wingate and Goldsmid (1830s)	Holt Mackenzie (Regulation VII, 1822); revised by R. M. Bird and James Thomason (Regulation IX, 1833, under Bentinck)
Where	Bengal, Bihar, Orissa, Varanasi division, parts of northern Madras	Madras and Bombay presidencies, later Assam and Coorg	North-Western Provinces, Punjab, parts of Central India
Who pays the state	Zamindar, recognised as owner	Ryot (cultivator) directly	Village or group of villages (mahal), jointly, through the headman (lambardar)
Demand	Fixed for ever: 10/11 of the rental to the state, 1/11 to the zamindar	High (often around half the net produce); revised every 20–30 years	Very high at first (two-thirds of rental); reduced to half (Saharanpur rules, 1855); periodically revised
Enforcement	**Sunset Law**: estate auctioned if revenue unpaid by sunset of the due date	Eviction and sale of the ryot's holding	Joint liability; sale of the defaulter's share
Why the British chose it	Fixed, assured income; cheaper collection; a loyal landed class; hope of agricultural improvement	State keeps the rising rent; no intermediary; Munro's ideal of the peasant proprietor	Fit the joint village communities of the north; a middle course
Who lost	Old zamindars (many estates sold within two decades); ryots became tenants-at-will; the state lost the rising rent	Ryot faced high demand, no remission in bad years, and the moneylender	Village elites gained; small holders fell into debt

Fig. 2 *— the three settlements on the variables that matter. The bottom row ("who lost") is what an answer uses; the top rows are for Prelims.*

5.7 Agriculture: impoverishment, stagnation and forced commercialisation UNDERSTAND

Plain version. Peasants paid more, owned less and invested little. Output of food barely grew. Many peasants were pushed into growing crops for export — not because it paid them better, but because revenue had to be paid in cash and debts had to be cleared.

- **Impoverishment.** High revenue, rising rents and illegal cesses; evictions; indebtedness; growth in the number of landless agricultural labourers; fragmentation as the displaced artisans crowded onto the land.
- **Stagnation.** Little investment by zamindars (who could raise rents instead) or by an indebted peasantry. George Blyn (1966) found foodgrain output in British India grew about 0.1 per cent a year between 1891 and 1947, slower than population — so food per head fell.
- **Commercialisation — the crops. Indigo** (Bengal, Bihar; planter coercion; Indigo Revolt 1859–60; *Nil Darpan*; declined after synthetic dye — the 2020 Prelims answer); **cotton** (boom during the American Civil War 1861–65, then crash — the background to the Deccan Riots); **jute** (Bengal, for Dundee and Calcutta mills); **tea** (Assam, worked by indentured inland labour); **opium** (a state monopoly, sold to China); sugarcane, groundnut.
- **Why "forced".** The decision was driven by the revenue demand, debt and planters' contracts; the profit went mostly to traders, exporters and moneylenders; and food land was diverted in some tracts, so world price swings now reached the village directly.

- **Counter-case worth one line.** Commercialisation *did* create a prosperous rich-peasant stratum in some regions (Punjab canal colonies, Gujarat's Patidars, coastal Andhra) — which is why it is better described as **differentiation** than as uniform ruin. Imran Ali (*The Punjab under Imperialism*, 1988) shows the canal colonies served export and military-loyalty aims too.

5.8 Deindustrialisation — the 2017 and 2024 questions MEMORISE THE CHAIN

Plain version. In the nineteenth century India's handicrafts, above all cotton textiles, lost their markets abroad and then at home. The people who lost their work went back to farming, because no modern industry arose to employ them. Deindustrialisation means a fall in the share of people living by industry — not just a fall in output.

Causes — layered, so you can answer "how far"

- **Company coercion came first.** In late-18th-century Bengal the Company's monopoly buying and advances to weavers forced them to sell below market price. This predates any Industrial Revolution effect.
- **Loss of patrons.** Annexation removed the courts and nobles who bought luxury crafts; Dacca muslins, Lucknow, Murshidabad and Thanjavur crafts lost their buyers. The new English-educated elite turned to Western goods.
- **One-way free trade.** Indian textiles faced prohibitive duties in Britain in the early 19th century while British goods entered India almost duty-free after 1813; import duties were abolished altogether in 1882.
- **The Industrial Revolution itself.** Machine spinning and weaving cut the price of cloth so far that hand-made coarse and medium cloth could not compete on price.
- **Railways** carried Manchester cloth to the village and raw cotton to the port.
- **Raw material export** raised the price of cotton for Indian weavers; later the **cotton excise duty of 1896** taxed Indian mill cloth to suit Lancashire.
- **No protecting state.** The United States, Germany and Japan faced Lancashire too and used tariffs to build their own industry. Colonial India could not.

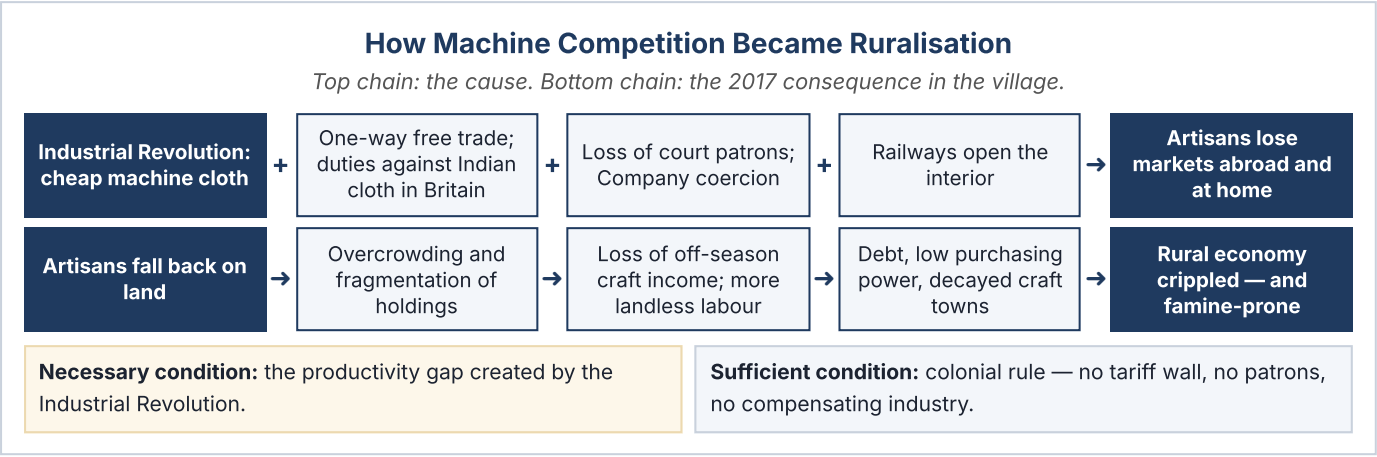


***Fig. 3** — for 2024 draw the top chain and the two boxes; for 2017 draw the bottom chain. Both are 30-second drawings.*

Evidence

- Dacca's population fell from about 150,000 to 30,000–40,000 by 1840 (Charles Trevelyan's evidence to Parliament).
- **Amiya Kumar Bagchi (1976)**, using Buchanan-Hamilton's survey (1809–13) and the 1901 Census: in Gangetic Bihar the share of the population dependent on industry fell from **18.6 per cent to 8.5 per cent**.
- India's share of world manufacturing output: roughly a quarter in 1750, about 2 per cent by 1900 (Paul Bairoch's estimates).
- India turned from the world's leading exporter of cotton cloth into an importer of British cloth by the 1820s–30s.

The debate

- **Revisionist: Morris D. Morris** ("Towards a Reinterpretation of Nineteenth-Century Indian Economic History", 1963) argued the evidence for decline was thin. **Tirthankar Roy** shows handloom weaving survived and even grew in the 20th century by using cheap mill-spun yarn; the collapse was sharpest in **hand spinning** and luxury crafts.

- **Replies:** Bipan Chandra, Toru Matsui and Tapan Raychaudhuri (symposium in the *Indian Economic and Social History Review*, 1968); Bagchi's figures (contested in turn by Marika Vicziany, 1979).
- **Global view:** Clingingsmith and Williamson (2005) date the decline from post-Mughal disorder and stress the productivity gap; Prasannan Parthasarathi (2011) shows Britain's own cotton industry grew up behind tariffs against Indian cloth.

ANSWER-READY
"The Industrial Revolution made the decline of Indian handicrafts possible; colonial rule made it one-sided, rapid and uncompensated, because it left India no tariff wall, no patrons and no modern industry to absorb those displaced."

5.9 Modern industry, Indian capitalists and railways UNDERSTAND

- **When and what.** Cotton mills from the 1850s (Bombay, C. N. Davar, 1854; later Ahmedabad); jute mills from 1855 (Rishra, near Calcutta); coal (Raniganj); tea and coffee plantations; **TISCO 1907** (Jamshedpur). Growth during the First World War; **discriminating protection** from 1923 (Fiscal Commission 1921–22) helped steel, sugar, paper and cement.
- **The pattern.** Foreign capital dominated jute, tea, coal and mining through **managing agency houses**; Indian capital led cotton textiles and later steel, sugar and cement. Almost no capital-goods or heavy industry — hence the 1999 Prelims answer. Industry clustered in Bombay, Calcutta and Madras — the start of the **regional imbalance** in the 2026 question.
- **State attitude.** Neutral to hostile until the 1920s: cotton excise 1896, stores bought in Britain, rupee exchange rate set for remittances.
- **Indian capitalists.** FICCI (1927); support for the national movement on its own terms; the **Bombay Plan (1944)** by Tata, Birla and others — the bridge to post-independence planning.
- **Railways.** Dalhousie's Railway Minute (1853); first passenger line Bombay–Thane, 16 April 1853. Private companies were guaranteed about **5 per cent interest, paid from Indian revenue** even when lines lost money. They were planned for troops, raw materials to ports and goods inland; rails, locomotives and engineers came from Britain, so the industrial spin-offs went there. Counter: they created a national market, cut the impact of drought on famine mortality (Burgess and Donaldson, 2010), and helped build national consciousness.

5.10 The drain of wealth MEMORISE COMPONENTS

Plain version. Every year a part of what India produced was sent to Britain and nothing of equal economic value came back. Because it left the country, it could not be saved or invested in India. That is the drain.

How the Drain Worked

India's export surplus paid for the outflow; the outflow paid for no return.

SOURCE IN INDIA

- **Land revenue and taxes**, including salt
- **Export surplus** — India exported more than it imported
- Before 1813: **"investment"** — goods bought with Bengal's revenue

→

CHANNELS

- **Home Charges**: interest on public debt in London, India Office costs, pensions and furloughs, army stores, wars outside India
- **Remittances** of British officials' salaries and savings
- **Interest and profits** on foreign capital, including guaranteed railway interest
- **"Invisibles"**: shipping, banking, insurance

→

EFFECT

- Capital starved; little domestic investment
- Taxes high relative to income; demand depressed
- Poverty measured: Naoroji's **Rs 20 per head** (1867–68)
- Britain's payments balanced by India's surplus

Counter-view: Theodore Morison (*The Economic Transition in India*, 1911) — the payments bought administration, defence and capital. **Nationalist reply:** India did not choose those services, did not set their price, and the debt was created by wars and guarantees imposed on it.

***Fig. 4** — three columns and an arrow; add the counter-view box for "critically".*

- **The theorists. Dadabhai Naoroji** — papers from 1867 ("England's Debt to India"), *Poverty of India* (1876), collected as *Poverty and Un-British Rule in India* (1901); he called the rule "un-British". **R. C. Dutt** — *The Economic History of India* (two volumes, 1902 and 1904). M. G. Ranade, G. V. Joshi, **G. Subramania Iyer**, G. K. Gokhale; **William Digby**, *'Prosperous' British India* (1901). **Syed Ahmad Khan** did not accept it (1996 Prelims).
- **Political significance.** The drain theory broke the idea that British rule was benevolent; it was the core of **economic nationalism** and fed Swadeshi.
- **Modern estimates** vary enormously. Utsa Patnaik's widely quoted figure of about US$45 trillion (1765–1938) is a headline estimate that other economists dispute. Use it, if at all, with "one estimate".

5.11 Trade, tariff and currency policy CONCEPTUAL RECALL

Measure	What it was	Whose interest it served
Abolition of import duties (1882)	Free entry for British goods, except salt and liquor	Lancashire
Cotton excise duty (1896)	3.5% on Indian mill cloth, to offset a revenue import duty; abolished in 1926	Lancashire, against Bombay mills
Discriminating protection (1923)	Selective tariffs after the Fiscal Commission (1921–22)	A concession to Indian industry after the First World War
Imperial preference (Ottawa, 1932)	Lower duties on British goods than on others'	British exporters (1999 Prelims)
Hilton-Young Commission (1926)	Fixed the rupee at 1s 6d (nationalists wanted 1s 4d); proposed a central bank (RBI, 1935)	Remittances and India's creditworthiness in London (2026 Prelims) — hurt Indian exporters
Salt tax	A tax on a necessity, paid by the poorest	The treasury — and Gandhi's target at Dandi (1930)
War finance (1939–45)	Supplies bought on credit; money printed; inflation	Britain — India ended the war as a creditor (sterling balances) while Bengal starved

5.12 Famines — the 2022 question MEMORISE REASONS

Plain version. Droughts were old; mass death from them became more frequent under colonial rule because the village had lost its defences — its savings, its craft income, its grain stores and a state that suspended revenue in bad years. Drought made the harvest fail; colonial economics made the failure fatal.

Famine	Region and scale	Policy response
Bengal 1770	Perhaps a third of Bengal's population died; revenue collections were maintained	None worth the name
Orissa 1866	About a million deaths	Campbell Commission
1876–78 (Great Famine)	Madras, Bombay, Mysore, Hyderabad; 5.6–9.6 million excess deaths; grain exports continued; Lytton's Delhi Durbar (1877) held during it	**Strachey Commission (1880) → Famine Code (1883)**; Famine Insurance Fund
1896–97 · 1899–1900	Almost every province; severe El Niño droughts	**Lyall Commission (1898) · MacDonnell Commission (1901, Curzon)**; Irrigation Commission (1901–03)
Bengal 1943	About 3 million deaths, in wartime	Woodhead Commission (1944); the origin of rationing and the public distribution system

Why the spurt — the reasons to write

- **Revenue before relief** — fixed cash demand collected even in scarcity (1770).
- **Loss of buffers** — artisans pushed onto land, so no non-farm income; village grain stores and the old obligation to relieve decayed.
- **Commercialisation and export** — food land diverted; grain exported even during the 1876–78 famine.
- **Market integration** — railways moved grain to the highest bidder and prices spiked locally. (They also made relief possible — say both.)
- **Ideology** — laissez-faire and Malthusian thinking kept relief minimal and conditional (Lytton; Richard Temple's reduced ration, 1877).
- **Under-investment in protective irrigation** in dry tracts until after 1880.
- **Climate shocks** — the great El Niño droughts of 1876–78 and 1896–1902 hit a population already made vulnerable (Mike Davis, *Late Victorian Holocausts*, 2001).
- **War and policy failure in 1943** — fall of Burma, the "denial" policy in coastal Bengal, wartime inflation. Amartya Sen (*Poverty and Famines*, 1981): food supply had not collapsed; the **entitlement** of labourers to buy food had.

Scale: William Digby's estimates of famine deaths rise from about 1 million (1800–25) to about 15 million (1876–1900). **Counter-point:** after the Famine Codes, railways and irrigation, there was no famine on the 1870s–90s scale between 1908 and 1942 — which is why 1943 is explained by war and entitlement, not by drought.

5.13 Indentured labour — the 2018 question UNDERSTAND

Plain version. When slavery was abolished in the British Empire (Act of 1833, in force from 1834), the sugar plantations needed a new source of cheap, controllable labour. Impoverished India supplied it under five-year contracts — the *girmit*, from "agreement".

- **Pull:** labour shortage on plantations. Destinations in order: Mauritius (1834), British Guiana (1838), Trinidad (1845), Natal (1860), Suriname (1873, Dutch), Fiji (1879, the last). Over 1.3 million people, 1834–1917.
- **Push:** the colonial economy itself — revenue pressure, debt, famine and deindustrialisation, especially in the Bhojpuri belt of Bihar and eastern UP, and in Madras.
- **Mechanism:** recruiters (*arkatis*), deception, depots at Calcutta and Madras; penal contracts. Hugh Tinker called it *A New System of Slavery* (1974).
- **End:** Gokhale's resolution (1910) ended recruitment for Natal (1911); campaigning by Gandhi and C. F. Andrews; recruitment stopped in 1917 and the system ended formally in 1920. Inside India, Assam tea worked on the same principle (Workmen's Breach of Contract Act 1859).

- **Cultural identity — yes, but reshaped.** Preserved: religion (the *Ramcharitmanas*, temples, Ramlila), Bhojpuri songs (Mauritius's *Geet-Gawai* is on UNESCO's intangible heritage list), food and festivals (Diwali is a public holiday in several of these countries), and memory (Aapravasi Ghat, Mauritius, a World Heritage Site). Transformed: caste weakened (the "jahaji bhai" ship-brotherhood), languages shifted (Fiji Hindi, English, Creole), and syncretic forms grew (chutney music). Contested: ethnic politics in Fiji, Guyana and Trinidad.

ANSWER-READY
"The indentured diaspora preserved the core of its culture — faith, song and festival — while losing caste and much of its language; it survived by changing."

5.14 The overall verdict and the historiography UNDERSTAND

School	Names	Core claim
Nationalist	Naoroji, Ranade, Dutt, Gokhale; Bipan Chandra, *The Rise and Growth of Economic Nationalism in India* (1966)	British rule impoverished India through drain, deindustrialisation and over-taxation
Marxist	R. P. Dutt, *India Today* (1940); Irfan Habib; Amiya Bagchi; Utsa Patnaik	Colonialism as a structure serving British capital through its three stages
Imperial and revisionist	Theodore Morison; Vera Anstey; Morris D. Morris; Tirthankar Roy	Decline exaggerated; British rule brought railways, law, markets; stagnation had internal causes too
Global	Paul Bairoch; Clingingsmith and Williamson; Prasannan Parthasarathi	India's decline is part of the Great Divergence; policy and technology both mattered

- **Verdict to write:** colonial India saw **growth in enclaves** — ports, railways, plantations, mills — and **stagnation in the mass** — agriculture, where most people lived. Per capita income was close to flat over the last half-century of British rule (Angus Maddison; S. Sivasubramonian).
- **Legacy:** mass poverty, a food-insecure agriculture, a thin industrial base concentrated in three port cities, and regional imbalance — which is why independent India chose planning (the 2026 question) and began with land reform.

ANSWER-READY
"The debate between nationalists and revisionists is about how much and how fast, not about direction: on almost every measure, colonial rule transformed India's economy in Britain's interest and left it poorer relative to the world than it found it."

6 WHAT TO MEMORISE versus WHAT TO UNDERSTAND

Tier	Content
MEMORISE WORD FOR WORD	The three stages with dates (1757–1813, 1813–1858, 1858–1947) • the three settlements: who, when, where, share of area, demand • Sunset Law • the four drain channels • Naoroji's Rs 20 (1867–68) and his 1901 book • Dutt 1902–04 • Bagchi 18.6% → 8.5% • Dacca 150,000 → 30–40,000 • the five paramountcy phases with dates, Chamber of Princes 1921, Butler Committee 1927 • famine commissions: Strachey 1880 (Code 1883), Lyall 1898, MacDonnell 1901, Woodhead 1944 • Factory Acts 1881 and 1891 • Hilton-Young 1s 6d (1926) • indenture: 1834 Mauritius, 1879 Fiji, ended 1917 • the three answer-ready lines in Section 15

Tier	Content
UNDERSTAND AND REPRODUCE FLEXIBLY	Why the stage decides the policy • why saleable land plus cash demand empowered the moneylender • why commercialisation was "forced" • necessary versus sufficient causes of deindustrialisation • how deindustrialisation became ruralisation • why famine became more lethal, and why it fell away after 1908 • why 1857 changed allies, not aims • why the drain was "un-British" in Naoroji's sense • the indentured yes-and-no on identity • the revisionist counter-view and the reply to it
CONCEPTUAL RECALL ONLY	Frontier wars and treaties beyond Lytton's forward policy, Durand Line and Younghusband • later Factory Acts (1911–1934) • the exchange-rate history before 1926 • minor commercial crops • names in the global-divergence debate beyond Bairoch and Parthasarathi

7 HIGH-ROI FACTUAL ANCHORS

Item	What to remember	Why it matters in an answer	Memory hook
Bipan Chandra; R. P. Dutt 1940	Three stages of colonialism	Periodises 2014 and 2022	Loot, market, capital
Cornwallis 1793	Permanent Settlement; 10/11 to state; Sunset Law; c. 19%	The zamindari case	Fixed for ever, sold at sunset
Read 1792 · Munro 1820	Ryotwari; c. 51%; Madras, Bombay	The peasant-proprietor case; Deccan Riots	Ryot pays Raj direct
Holt Mackenzie 1822 · Bird and Thomason 1833	Mahalwari; c. 30%; NWP, Punjab	The village case	Mahal = village
Blyn 1966	Foodgrain output about +0.1% a year, 1891–1947	Stagnation in one number	Food fell behind people
Bagchi 1976	Gangetic Bihar 18.6% → 8.5% (1809–13 to 1901)	The deindustrialisation statistic	Halved in a century
Trevelyan 1840	Dacca 150,000 → 30–40,000	Lost patrons and lost markets	Muslin city emptied
Bairoch	World manufacturing share: about 25% (1750) → about 2% (1900)	The global scale	Quarter to sliver
Morris 1963 · T. Roy	Revisionist doubt; handloom adapted	The counter-view for "critically"	Weaver survived, spinner did not
Naoroji 1867 / 1876 / 1901	Drain; Rs 20 per head; "un-British"	The drain theorist	Grand Old Man, grand old drain
R. C. Dutt 1902, 1904	*Economic History of India*	Second drain authority	Two volumes, two reigns
Morison 1911	No drain — payments for services	The imperial counter-view	Bill for services
Strachey 1880 → Code 1883	First Famine Commission; Famine Insurance Fund	Famine response begins	Strachey writes the Code
Sen 1981	Entitlement failure, Bengal 1943	Why 1943 was not a food shortage	Food there, money gone
Burgess and Donaldson 2010	Railways cut famine mortality from drought	The railway counter-case	Rails carried relief too
Peel Commission 1859	More Europeans, mixed regiments, martial races	1857 watershed, army	After the mutiny, mix the units

Item	What to remember	Why it matters in an answer	Memory hook
Butler Committee 1927	Paramountcy must remain paramount	Princes, Phase 4	Butler serves the Crown
Hilton-Young 1926	1s 6d; for remittances	Currency as drain	Dear rupee, cheap remittance
Tinker 1974	*A New System of Slavery*	The indenture citation	Slavery renamed

8 TECHNICAL VOCABULARY BANK

Term	Plain meaning	Where to use it	Example sentence
Diwani	The right to collect revenue, granted to the Company in 1765	Stage I	"With the Diwani, Bengal paid for its own exports."
Investment (Company sense)	Indian goods bought for export using Indian revenue	Drain before 1813	"The 'investment' was trade without payment."
Sunset Law	Estate sold if revenue unpaid by sunset of the due date	Permanent Settlement	"The Sunset Law ruined the old zamindars within a generation."
Subinfeudation	Layers of intermediate tenure-holders between landlord and cultivator	Bengal agrarian structure	"Subinfeudation multiplied rent-takers above the ryot."
Commercialisation of agriculture	Growing crops for sale and export rather than for use	Agriculture	"Commercialisation was forced by the revenue demand, not chosen."
Deindustrialisation	A fall in the share of the population living by industry	2017, 2024	"Deindustrialisation in India meant ruralisation, not a shift to factories."
Ruralisation	Increasing dependence on agriculture as other livelihoods vanish	2017	"The artisan returned to the plough, and the plot shrank."
One-way free trade	Open Indian market for British goods, closed British market for Indian goods	Industry, trade	"Free trade ran in one direction only."
Drain of wealth	Unrequited transfer of part of India's product to Britain	Finance, nationalism	"The drain turned India's export surplus into Britain's income."
Home Charges	Expenses of Indian government paid in Britain	Drain	"Home Charges made India pay for its own subjection."
Guarantee system	Fixed interest on railway capital paid from Indian revenue	Railways	"The guarantee socialised the risk and privatised the profit."
Managing agency	A firm managing several companies, usually British-owned	Modern industry	"Managing agencies kept jute and tea in British hands."
Discriminating protection	Selective tariffs for chosen industries (from 1923)	Interwar industry	"Protection came only after the First World War."
Imperial preference	Lower duties on British than on other imports	Trade (1932)	"Imperial preference tied India's market to Britain."
Entitlement failure	People cannot obtain food they cannot afford, even if food exists	Bengal 1943	"1943 was an entitlement failure, not a harvest failure."
Paramountcy	The Crown's supremacy over the princely states	Part A	"Paramountcy moved from isolation to union to federation."

Term	Plain meaning	Where to use it	Example sentence
Girmitiya	An indentured labourer (from girmit, "agreement")	2018	"The girmitiya carried the Ramcharitmanas to Fiji."

9 ANSWER EXPRESSION TOOLKIT

Definitions to reproduce

- **Drain of wealth:** the unrequited transfer of a part of India's national product to Britain through Home Charges, remittances, profits and payments for services, financed by India's export surplus.
- **Deindustrialisation:** a decline in the proportion of the population dependent on industry, as traditional manufactures lost markets without being replaced by modern industry.
- **Commercialisation of agriculture:** the shift from production for subsistence to production for the market and export, which under colonial rule was largely compelled by revenue and debt.
- **Paramountcy:** the supremacy of the British Crown over the princely states, defined by usage rather than treaty and therefore expandable at will.

Introductions

- (Any economic question) "British economic policy in India went through three stages — mercantile plunder, free trade and finance imperialism — and each reorganised the Indian economy to suit Britain's own."
- (Deindustrialisation) "India's handicrafts did not simply lose a contest with machines; they lost it on a field where colonial rule had removed every defence."
- (Famine) "Droughts were not new; what was new under colonial rule was the vulnerability that turned scarcity into mass death."
- (1857 watershed) "The revolt did not change what Britain wanted from India, but it changed whom Britain relied on to get it."
- (Indenture) "Indentured labour was the colonial economy's answer to two problems at once: the end of slavery in the plantations and the impoverishment of India's countryside."

Analytical and transition lines

- "Saleable land plus fixed cash revenue made the moneylender the real beneficiary of every settlement."
- "The stage decides the policy: plunder before 1813, markets after it, capital after 1858."
- "The Industrial Revolution was the necessary condition; colonial rule was the sufficient one."
- "Ruralisation, not urbanisation, was India's nineteenth-century transformation."
- "Railways carried both the grain that left in famine and the relief that later arrived."

Criticism and qualification lines

- "Revisionists such as Morris D. Morris and Tirthankar Roy argue that the decline was uneven — handloom weaving adapted while hand spinning collapsed."
- "Commercialisation also produced a prosperous rich-peasant stratum in Punjab and Gujarat, so its effect was differentiation rather than uniform ruin."
- "Drain estimates range widely, and the imperial view saw the payments as the price of services; the nationalist reply is that India chose neither the services nor their price."
- "After the Famine Codes there was no famine of the 1870s scale until 1943, which was caused by war and inflation rather than drought."

Conclusions

- "Colonial India saw growth in enclaves and stagnation in the mass — railways and mills on the surface, a starving countryside beneath."
- "The legacy — mass poverty, regional imbalance and a thin industrial base — explains why independent India chose planning."

- "Nationalists and revisionists disagree about how much and how fast, not about the direction of change."

10 DIAGRAM BANK

Figure	Verdict	Use it for	How to reproduce in about 30 seconds
Fig. 1 — the colonial economic machine	**HIGHEST ROI — draw it**	2014; any "impact of British rule" question	Three boxes across for the stages; below them five columns (agriculture, industry, trade, finance, famine), each with one arrow from policy to outcome
Fig. 2 — three settlements	Draw for any agrarian question	Land revenue, peasant, 1857 causes	Three columns; write only who, where, who pays, who lost
Fig. 3 — machine to ruralisation	**Draw for 2017 and 2024**	Deindustrialisation	Two horizontal chains of five boxes; add the necessary/sufficient boxes for "how far"
Fig. 4 — the drain	Draw for drain or 2014	Drain, nationalism	Source → channels → effect, with the counter-view written underneath
Fig. 5 — 1857 watershed	**Draw for 2016**	Policy after 1857	Two columns, before and after, four rows: princes, landlords, reform, army
Fig. 6 — paramountcy	Prelims and short notes	Princely states	Five boxes on a timeline with one keyword each: equality, ring fence, isolation, union, federation

Examiner's-eye view. For a 15-mark deindustrialisation answer, Fig. 3 plus Bagchi's figure plus one revisionist name already clears the pass mark. What lifts it is the **necessary versus sufficient** distinction and a line comparing India with the protected latecomers (USA, Germany, Japan). Do not draw more than one figure in a 10-mark answer.

11 COMPARISONS AND DEBATES

11.1 Nationalist versus revisionist — deindustrialisation

Basis	Nationalist and Marxist	Revisionist
Extent	Massive decline; Bagchi's 18.6% → 8.5%	Uneven; sharp in spinning and luxury crafts, not in all weaving
Cause	Colonial policy: tariffs, coercion, no protection	Technology and world prices; post-Mughal disorder
Data	Buchanan-Hamilton and the census	Data unreliable; artisans combined crafts with farming
Names	Dutt, Bipan Chandra, Bagchi	Morris, Vicziany, Tirthankar Roy

11.2 Nationalist versus imperial — the drain

Basis	Nationalist	Imperial
What the payments were	Tribute without return	Payment for administration, defence and capital
Effect	Capital starvation and poverty	Small relative to national income; investment flowed in
Names	Naoroji, Dutt, Digby	Morison, Anstey
Reply	India did not choose the services or their price, and the public debt was largely created by wars and guarantees imposed on it.	

11.3 Food availability decline versus entitlement — Bengal 1943

Basis	Food availability decline	Entitlement failure (Sen 1981)
Claim	Not enough food (Burma rice lost, cyclone 1942)	Enough food in aggregate; labourers could not afford it
Mechanism	Supply shock	War inflation, speculation, priority supply to Calcutta and the army
Lesson	Produce more	Protect purchasing power — rationing, public distribution

12 MASTER QUESTIONS AND ANSWERS

MASTER ANSWER 1 (15 marks, 250 words). "How far was the Industrial Revolution in England responsible for the decline of handicrafts and cottage industries in India?" (2024 — the most recent asking.)

How to structure it

- Open with the verdict — necessary but not sufficient — not with a definition.
- One paragraph on what the Industrial Revolution did; then four or five colonial conditions that made the decline one-sided.
- Evidence in the body (Dacca, Bagchi), not saved for the end; one revisionist qualification.
- Close on the comparison with protected latecomers.

> The Industrial Revolution made the decline of Indian handicrafts possible, but colonial rule made it one-sided, rapid and uncompensated.
>
> **What the Industrial Revolution did.** Mechanised spinning and weaving in Lancashire cut the cost of cotton cloth so sharply that Indian coarse and medium hand-woven cloth lost on price, first in export markets and then at home. By the 1820s India had turned from the world's leading exporter of cotton cloth into an importer of British cloth.
>
> **Why the machine alone does not explain it.** First, the decline began earlier: in Bengal the Company's monopoly purchases and advances forced weavers to sell below market price. Second, trade ran one way — Indian cloth faced heavy duties in Britain while British goods entered India almost free after 1813. Third, annexation removed the courts that bought luxury crafts; Dacca's population fell from about 150,000 to 30,000–40,000 by 1840. Fourth, railways carried machine cloth into the interior and raw cotton out. Fifth, the cotton excise of 1896 taxed even Indian mill cloth.
>
> **The result was ruralisation.** In Gangetic Bihar the share of the population in industry fell from 18.6 to 8.5 per cent between 1809–13 and 1901 (Bagchi). Revisionists such as Tirthankar Roy show that handloom weaving adapted by using mill yarn, so the collapse was sharpest in spinning and luxury goods.
>
> The United States, Germany and Japan also faced Lancashire, but used tariffs to industrialise. India could not, because it was not sovereign. The Industrial Revolution was the necessary condition; colonial rule was the sufficient one.

About 265 words — right for 15 marks. The necessary-versus-sufficient frame and the latecomer comparison are what distinguish it; cut the cotton excise first if pressed.

MASTER ANSWER 2 (10 marks, 150 words). "Why was there a sudden spurt in famines in colonial India since the mid-eighteenth century? Give reasons." (2022)

> Droughts were old; their conversion into mass death under colonial rule was new.
>
> **1. Revenue before relief.** Fixed cash demands were collected even in scarcity — in Bengal in 1770 collections were maintained while perhaps a third of the population died. **2. Lost buffers.** Deindustrialisation removed non-farm income; village grain stores decayed. **3. Commercialisation and export.** Cash crops displaced food in some tracts, and grain was exported during the 1876–78 famine. **4. Laissez-faire** kept relief minimal, as under Lytton. **5. Neglect of protective irrigation** in dry tracts. **6. El Niño droughts** (1876–78, 1896–1902) struck an already vulnerable people.
>
> After the Famine Code of 1883 and the spread of railways, famine mortality fell until 1943, when wartime inflation destroyed labourers' purchasing power — an entitlement failure, in Amartya Sen's term.

About 150 words. The periodisation (1770 to 1943) and the closing qualification are what lift it; cut reason 5 before cutting them.

MASTER ANSWER 3 (10 marks) — skeleton. "Examine critically the various facets of economic policies of the British in India from mid-eighteenth century till independence." (2014)

- **Open:** policy changed with Britain's needs — three stages.
- **Stage I (1757–1813):** monopoly, Diwani, "investment", coercion of weavers.
- **Stage II (1813–1858):** one-way free trade; raw-material exports; land settlements fixed.
- **Stage III (1858–1947):** railways under guarantee, plantations, Home Charges and the drain; protection only from 1923; imperial preference 1932; Hilton-Young 1926; war finance.
- **Critically:** railways and canals created a national market and enclaves of growth — but agriculture stagnated and per capita income was nearly flat.
- **Close:** development of the enclave, underdevelopment of the mass. Draw Fig. 1's top band.

MASTER ANSWER 4 (12.5–15 marks) — skeleton. "Explain how the uprising of 1857 constitutes an important watershed in the evolution of British policies towards colonial India." (2016)

- **Open:** 1857 changed whom Britain relied on, not what it wanted.
- **Body:** Fig. 5's rows — Crown rule (1858 Act); princes from annexation to preservation; taluqdars restored; retreat from social reform; Peel Commission army; divide and rule; income tax and finance imperialism.
- **Continuity:** the extraction and the racial distance continued and deepened (Ilbert Bill).
- **Close:** the new allies — princes, zamindars, communal elites — became obstacles the national movement had to overcome.

13 MAINS QUESTION BANK

#	Question	Marks	Tags
1	How far was the Industrial Revolution in England responsible for the decline of handicrafts and cottage industries in India?	15	H R D S
2	Examine how the decline of traditional artisanal industry in colonial India crippled the rural economy.	15	H R D S
3	Why was there a sudden spurt in famines in colonial India since the mid-eighteenth century?	10	H R P S
4	Examine critically the economic policies of the British in India from the mid-eighteenth century till independence.	10	H R D P
5	Explain how 1857 was a watershed in British policies towards India.	12.5	H R D
6	Why was indentured labour taken from India to other colonies? Have the migrants preserved their cultural identity?	15	R S
7	Explain the drain of wealth theory and assess its significance for Indian nationalism.	15	R D S

#	Question	Marks	Tags
8	Compare the Permanent, Ryotwari and Mahalwari settlements and their impact on the peasantry.	15	R D
9	"Commercialisation of agriculture under colonial rule was forced rather than market-driven." Discuss.	15	S
10	Assess the impact of railways on the Indian economy under colonial rule.	10	S
11	Trace the evolution of British policy towards the princely states from 1765 to 1947.	15	D P
12	"Colonial economic change in India was growth in enclaves and stagnation in the mass." Critically examine.	15	S
13	Was the Bengal famine of 1943 a failure of food supply or of entitlement?	10	S
14	How did colonial rule create the regional imbalances that independent India's planners inherited?	15	P
15	Was colonial labour legislation between 1881 and 1934 humanitarian or protectionist?	10	S
16	How did frontier policy add to the financial burden on India in the 19th century?	10	P

H = high-frequency demand • R = high ROI • D = needs a diagram • S = needs a scholar or statistic • P = must be periodised.

14 CLOSED-BOOK RECALL DRILL

Core concepts (5)

- Name the three stages of colonialism with dates and one policy each.
- Explain in two sentences why saleable land plus fixed cash revenue helped the moneylender.
- Define deindustrialisation so that it excludes a mere fall in output.
- List the four channels of the drain.
- Give six reasons for the spurt in famines, in chronological order of evidence.

Factual anchors (6)

- Who, when, where and what share of area for each settlement?
- Bagchi's two percentages, with years and source.
- Naoroji's per capita figure, year and book.
- The four famine commissions with years and viceroys where known.
- The five paramountcy phases with dates.
- Hilton-Young: ratio, year, purpose.

Comparisons (3)

- Permanent versus Ryotwari versus Mahalwari on five bases.
- Nationalist versus revisionist on deindustrialisation.
- Before and after 1857 on five domains.

Critical judgement (2)

- State the revisionist counter-view in two sentences and the reply in one.
- Explain why there was no great famine between 1908 and 1942, and why 1943 still happened.

Diagram reproduction (2)

- Draw Fig. 1 from memory with all three stages and at least four of five columns.
- Draw Fig. 3 with both chains and the necessary/sufficient boxes.

Timed answers (2)

- In 18 minutes, write the 2024 answer. Count the statistics you used.
- In 8 minutes, write the 2022 famine answer in 150 words.

15 ONE-PAGE QUICK-REVISION SHEET

THE SPINE. Three stages: **plunder 1757–1813 → market 1813–1858 → capital 1858–1947**. Land revenue is the engine; **saleable land plus fixed cash demand** hands the village to the moneylender. Artisans lose markets and fall back on land — **ruralisation**. The surplus leaves as the **drain**. Famine is where it all meets. After 1857, Britain changed **allies, not aims**: princes, zamindars, non-interference, divide and rule. Counter-view: growth in enclaves; revisionists dispute extent, not direction.

ESSENTIAL TERMS	ESSENTIAL FACTS	ESSENTIAL SCHOLARS
Diwani • investment • Sunset Law • subinfeudation • forced commercialisation • deindustrialisation • ruralisation • one-way free trade • Home Charges • guarantee system • managing agency • discriminating protection • imperial preference • entitlement failure • paramountcy • girmitiya	1793 / 1820 / 1822 settlements; 19 / 51 / 30% • Bagchi 18.6 → 8.5% • Dacca 150,000 → 30–40,000 • Bairoch 25% → 2% • Rs 20 (1867–68) • famines 1770, 1876–78, 1896–1900, 1943 • Strachey 1880, Code 1883, Lyall 1898, MacDonnell 1901, Woodhead 1944 • Peel 1859 • Chamber of Princes 1921 • Butler 1927 • Factory Acts 1881, 1891 • Hilton-Young 1s 6d 1926 • Ottawa 1932 • indenture 1834–1917	Bipan Chandra • R. P. Dutt 1940 • Naoroji 1901 • R. C. Dutt 1902–04 • Digby 1901 • Morison 1911 • Blyn 1966 • Morris 1963 • Bagchi 1976 • Tirthankar Roy • Bairoch • Parthasarathi 2011 • Sen 1981 • Davis 2001 • Burgess and Donaldson 2010 • Tinker 1974

The three lines to have word-perfect

- 1. “The Industrial Revolution was the necessary condition of India’s deindustrialisation; colonial rule was the sufficient one.”
- 2. “Drought made the harvest fail; colonial economics made the failure fatal.”
- 3. “1857 did not change what Britain wanted from India; it changed whom Britain relied on to get it.”

Diagram cues

Fig. 1 three stages over five columns • Fig. 2 three settlements, “who lost” row • Fig. 3 two chains plus necessary/sufficient • Fig. 4 source → channels → effect • Fig. 5 before/after 1857 • Fig. 6 five phases.

Confusions to avoid

- Ryotwari is **Read and Munro**, not Cornwallis (the cancelled 2024 Prelims question).
- Indigo declined because of **synthetic dye**, not because of the 1859–60 revolt.
- The 1881 Factories Act did **not** fix wages or allow unions.
- The Ilbert Bill was about **judicial jurisdiction over Europeans**, not the press.
- Deindustrialisation is a fall in the **share of people in industry**, not just lower output.
- Do not write that Britain had no modern industry built in India; write that it was **small, late and concentrated**.
- Do not attribute “the bones of the cotton-weavers are bleaching the plains of India” to Bentinck as fact — see Section 16.

16 SOURCES AND HONEST CAVEATS

What this note was built from

- **Syllabus** — UPSC GS-I, Modern Indian history clause. **Tracker** — your Subject Coverage row, Seq 22, mapped to Spectrum Ch. 27–28.
- **PYQs** — your two uploaded UnlockIAS compilations: GS-I Mains 2013–2026 and Prelims Modern History 1995–2026.
- **Standard sources** — Bipan Chandra, *The Rise and Growth of Economic Nationalism in India* (1966) and his work on the stages of colonialism; R. P. Dutt, *India Today* (1940); Naoroji (1901); R. C. Dutt (1902, 1904); Digby (1901); Morison (1911); Blyn (1966); Morris (1963) and the 1968 *IESHR* symposium; Bagchi (1976); Tirthankar Roy; Bairoch; Clingingsmith and Williamson (2005); Parthasarathi (2011); Sen (1981); Davis (2001); Burgess and Donaldson (2010); Tinker (1974); Imran Ali (1988).
- **Checked against the web for this draft** — Bagchi's Bihar figures and their critics; the area shares of the three settlements; indenture dates and numbers; famine mortality and commission dates.

Where you should be careful

- **Area shares (19 / 51 / 30 per cent)** are the standard textbook figures. They are approximations and differ slightly between books; write "about".
- **Famine deaths are estimates.** 1876–78 is put at 5.6–9.6 million excess deaths; Bengal 1770 at "perhaps a third" of the population; Bengal 1943 at about 3 million. Always write a range or "about".
- **Indenture numbers vary** between 1.2 and 1.6 million depending on dates and colonies counted. "Over 1.3 million, 1834–1917" is the safest form.
- **Bagchi's figures are contested** (most fully by Marika Vicziany, 1979) on how Buchanan-Hamilton's data were read. Use them with his name attached.
- **Blyn's 0.1 per cent** is for foodgrains in British India, 1891–1947; total crop output grew somewhat faster. Do not apply it to all agriculture.
- **The 2011 Prelims key** (increased litigation after 1793) is given as (c) in your compilation, but other keys differ. Learn the mechanism rather than the letter.
- **The "bones of the cotton-weavers" line** is widely quoted as Bentinck's (1834) through Marx's *Capital*, but no reliable original has been traced. Write "a line quoted by Marx" if you use it.
- **Patnaik's US$45 trillion** drain figure is a single contested estimate. Do not present it as fact.
- **Prelims counts are mine.** I re-sorted UnlockIAS's tags by content, so the in-scope counts are accurate to about ±2.
- **Part A overlaps other rows.** 1857 (Seq 6) and Expansion (Seq 4) cover parts of the same ground. Fig. 5 here is the policy view only; the revolt itself is there.
- **Visuals are typeset diagrams, not sourced images.** They summarise standard material; none reproduces a published figure.